

**MEMO**Memo No. **2D**Issue Date **June 10, 2024**Meeting Date **PCC Meeting June 24, 2024**

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Project	PCC Agenda Priorities		
Project Stage	Pre-agenda Research		
Issue	Topic 842, Leases		

Memo Purpose

1. During the PCC's discussion of its agenda priorities at its April 2024 meeting, one of the four issues that the PCC supported conducting preliminary research on was potential private company simplifications to Topic 842, Leases, such as practical expedients or accounting alternatives.
2. This memo provides background information on Topic 842 to facilitate the June 2024 PCC meeting discussion. An estimated timeline, including major milestones, is included in an accompanying slide deck.

Question for the PCC

1. In addition to the questions included in cover memo 2, do PCC members agree with establishing a working group, and if so, what should be the composition of that working group?

Description of the Issue

3. Private company preparer and practitioner stakeholders (and many PCC members) have consistently indicated that certain fundamental areas of Topic 842 can be costly and complex to apply. While acknowledging that Topic 842 provides practical expedients applicable to all entities and certain private-company specific expedients to simplify the application of certain areas of Topic 842, PCC members have indicated that additional simplifications for private companies should be considered.

Topic 842 Simplifications and Practical Expedients

4. The Board provided several simplifications for applying Topic 842 when developing Topic 842 and as part of its ongoing post-implementation review (PIR) of that Topic. Those simplifications include

practical expedients, some of which are available to all entities while others just to private companies and certain not-for-profit entities (hereinafter referred to as private companies).

Practical Expedients—All Entities

5. The following practical expedients are available to all entities:

- (a) **Short-term lease exemption (Lessees):** A lessee may elect not to apply the recognition requirements to short-term leases, which are defined as “a lease that, at the commencement date, has a lease term of 12 months or less and does not include an option to purchase the underlying asset that the lessee is reasonably certain to exercise” (paragraph 842-20-25-2).
- (b) **Combining lease and nonlease components (Lessees):** A lessee may elect by class of underlying asset to not separate nonlease components from lease components and, instead, account for each separate lease component and the nonlease components associated with that lease component as a single lease component. Therefore, the lessee would not allocate the consideration in the contract between lease components and nonlease components and, rather, would account for all payments (fixed and variable) as lease payments (paragraph 842-10-15-37).
- (c) **Combining lease and nonlease components (Lessors):** A lessor may elect by class of underlying asset to not separate nonlease components from lease components, and instead, account for each separate lease component and the nonlease components associated with that lease component as a single component if certain criteria are met (paragraph 842-10-15-42A).

Practical Expedients—Private companies

6. The following practical expedients are available to private companies:

- (a) **Discount rate for private companies (Lessees).** A practical expedient for private company lessees allows the use of a risk-free rate as the discount rate for all leases. In [Update No. 2021-09, Leases \(Topic 842\), Discount Rate for Lessees that are Not Public Business Entities](#), the Board amended that guidance to provide more flexibility; the guidance allows lessees that are not public business entities to make the risk-free rate election as the discount rate by class of underlying asset, rather than at the entity-wide level.
- (b) **Private company common control arrangements.** [Update No. 2023-01, Leases \(Topic 842\), Common Control Arrangements](#), provided a practical expedient for private companies to use the written terms and conditions of a common control arrangement to determine whether a lease exists and, if so, the classification of and accounting for that lease.¹ That practical expedient was provided

¹ The amendments also require that leasehold improvements associated with common control leases be amortized by the lessee over the useful life of the leasehold improvements to the common control group as long as the lessee controls the use of the underlying asset through a lease. That leasehold improvement accounting amendment is applicable to all entities.

by the Board in response to private company stakeholders concerns about applying the leases guidance to related-party arrangements between entities under common control.

Lease Modifications Resulting from Certain Lease Concessions (All Entities)

7. In April 2020, the FASB staff issued an [FASB Staff Q&A](#), *Topic 842 and Topic 840: Accounting for Lease Concessions Related to the Effects of the COVID-19 Pandemic*. That Q&A was issued by the staff to address immediate concerns about modification accounting and provide relief for certain lease concessions related to the effects of the COVID-19 pandemic.

Post-Implementation Review

8. As part of its PIR of Topic 842, the Board has monitored and assisted stakeholders with implementation and ongoing application of the guidance. The FASB staff has proactively engaged with stakeholders in both formal and informal settings to solicit feedback. Meetings have been held with FASB advisory groups, regulators, users of financial statements (predominantly public company), and public accounting firms of varying sizes.
9. For private companies, the Board has engaged in ongoing discussions with the PCC, the AICPA's Private Companies Practice Section Technical Issues Committee (TIC), the AICPA Center for Plain English, and has participated in several conferences and town hall conferences to further understand the incremental challenges of lease accounting arising from the changes in Topic 842. Those discussions helped support the FASB's decision to provide two deferrals of the Topic 842 effective date for private companies. Broadly, those deferrals were provided to allow private companies to have the necessary time and resources to effectively implement Topic 842. A request for a third deferral of Topic 842 was submitted in September 2021 by the Pennsylvania Institute of Certified Public Accountants; however, the Board decided not to defer the effective date at that time on the basis that certain users of private company financial statements communicated that the associated reporting would allow users to gain better insight into private company leasing activities and obligations.
10. To date, the following are the primary areas identified in discussions with private company practitioners and preparers as costly and complex to apply:
 - (a) Determining the incremental borrowing rate
 - (b) Identifying leases, including those in nonlease contracts (referred to as embedded leases)
 - (c) Lease modifications
 - (d) Lessee allocation of fixed and variable payments to lease and nonlease components.
11. In addition, some private company stakeholders have recommended eliminating the lease classification test and having one type of lease for lessees (that is, only finance leases or only operating leases).

12. The areas in paragraph 10 were discussed at a public roundtable in September 2020 on the implementation of Topic 842. Along with public company investors, preparers, and large practitioners, participants included a private company preparer, two private company practitioners, and an investor (credit analyst). Feedback from that roundtable was considered by the Board at its December 2, 2020 meeting and at that meeting, the Board decided not to reconsider items (a), (b), and (d) and directed the staff to consider whether targeted improvements to the Topic 842 lease modification model were warranted and to continue to monitor the implementation and application of Topic 842.

Narrow Amendments to the Lease Modification Model

13. After considering stakeholder feedback on certain targeted areas of the Topic 842 lease modification model, the Board proposed narrow scope amendments to that model in October 2020. Those amendments would have exempted entities from applying modification accounting to the remaining lease components within a lease contract (for example, a master lease agreement for a fleet of vehicles) if certain conditions existed. Many comment letter respondents highlighted the interaction of the narrow amendments with additional issues within lease modification accounting (such as the accounting for termination penalties, lease reclassifications and updating assumptions, and minor modifications) and recommended a holistic look at the lease modification guidance rather than a piecemeal approach.
14. In February 2021, the Board considered feedback on the proposed amendments and decided not to finalize the proposed amendments without considering whether other potential improvements to the lease modification model warranted reconsideration. Feedback received on the June 2021 Invitation to Comment, *Agenda Consultation*, generally suggested that lease modification accounting should not be a priority project for the Board.² Additionally, outreach with the large accounting firms and public company preparers, including those that had previously recommended changes to the Topic 842 lease modification model, indicated that the model was a major improvement over the lease modification guidance in Topic 840, Leases.³ Those preparers further noted that established lease software systems are mostly compatible with the Topic 842 modification requirements and, therefore, any significant changes would cause disruption to established processes. On the basis of that feedback, the Board removed the lease modification project from its technical agenda in June 2022.

Next Steps

15. The staff thinks that the next steps for Topic 842 PCC consideration are:

² In April 2021, the PCC discussed the Agenda Consultation and identified financial reporting issues and the priority of those issues. Those issues included debt modifications, troubled debt restructurings, disclosure materiality, liabilities and equity, variable interest entities, and financial performance reporting. PCC members also expressed support for the FASB's goodwill and segment reporting projects.

³ Because most private companies had not implemented Topic 842 at that time, feedback was limited to public companies and their practitioners.

- (a) Establishing a working group, whose objective would be to identify areas of significant complexity (that is, the areas that are most challenging in practice and for which simplifications would be most useful) for private companies. The working group may consider the areas of complexity noted in paragraph 10 and 11 as a starting point.
- (b) Perform preliminary research and outreach to understand which areas of complexity to explore for potential private company simplification, including determining whether feasible solutions exist.
- (c) Develop feasible solutions for which the expected benefits (simplification) justify the expected costs (potentially less decision-useful information).

If applicable and after those next steps are completed, the FASB staff will provide a research paper to the PCC for consideration.

- 16. Additionally, as part of the FASB's post-implementation review process on leases, because of the differing effective dates for public and private entities, the FASB plans to continue its leases PIR activities in the second half of 2024 and to assist stakeholders in their ongoing application of the FASB's leases standard.
- 17. In the coming months, the FASB staff will focus on obtaining feedback from private company preparer and practitioner stakeholders about the implementation of the FASB's leases standard, including any additional simplifications for private companies identified by the PCC. Additionally, the FASB has two open agenda requests related to leases. The first is about accounting for lease costs incurred during a construction period (expected to be discussed with the Board in the second quarter of 2024) and the second relates to when lease classification for a failed sale-leaseback should be reassessed.
- 18. Other activities that the FASB plans to complete as part of Stage 2 of its leases PIR process are as follows:
 - (a) Continuing outreach with public and private entity preparers and practitioners about the ongoing application of the FASB's leases standard
 - (b) Performing outreach with investors in public entities and in private entities
 - (c) Conducting a survey for private companies about the initial and ongoing costs of implementation
 - (d) Considering relevant academic research.